

Campervan Rental Business Decision Analysis Report

(Previous sections remain unchanged)

2. Influence Diagram Analysis

The influence diagram illustrates the relationships between various factors affecting the decision to invest in and operate a campervan rental business. This diagram has been updated to more closely reflect the structure of the decision tree.

Nodes:

1. **Decision Nodes** (Rectangles):

2. Invest in Campervan Rental?

3. Price Range

4. **Chance Nodes** (Ovals):

5. Market Demand

6. Weather Conditions

7. Operational Costs

8. Customer Satisfaction

9. Cancellation Rate

10. **Value Node** (Diamond):

11. Profit

Relationships:

- The initial investment decision ("Invest in Campervan Rental?") directly influences the "Price Range" decision and the overall "Profit".
- The "Price Range" decision affects "Market Demand", "Customer Satisfaction", "Cancellation Rate", and ultimately "Profit".
- "Market Demand" has a direct impact on "Profit".

- "Weather Conditions" influence "Customer Satisfaction", "Cancellation Rate", and "Profit".
- "Operational Costs" directly affect "Profit".
- Both "Customer Satisfaction" and "Cancellation Rate" have an impact on "Profit".

This updated influence diagram provides a clearer representation of how each factor in the campervan rental business interacts and ultimately affects profitability. It highlights the central role of the investment and pricing decisions, while also showing how external factors like weather conditions and market demand can impact the business outcomes.

(Remaining sections continue unchanged)